Question #1 of 120

Question ID: 1212005

Questions 1 through 18 relate to Ethical and Professional Standards. (27 minutes)

Which of the following statements made in a marketing brochure is a violation of the Standards?

A) “Roger Langley, Chartered Financial Analyst, has been a portfolio manager for ten years and passed all three levels of the CFA examinations on his first attempts.”

B) “Jennifer York has passed the Level II exam and will earn the right to use the CFA designation after completing the Level III exam this June.”

C) “Paul Yeng, CFA, has retired from the firm after 25 years of service. Much of the firm’s past success can be attributed to Yeng’s efforts as an analyst and portfolio manager.”

Question #2 of 120

Question ID: 1212006

Hedge Funds Unlimited, a global hedge fund, has publicly acknowledged in writing that it has adopted the CFA Institute Code and Standards as its policies. Which of the following is *least likely* a violation of the firm's policies?

A) An analyst at the firm working overseas uses material nonpublic information as allowed by local law to make investment decisions for discretionary client accounts.

B) A junior analyst at the firm uses a subscription to his local newspaper and the opinions of his friends and colleagues to make investment recommendations for discretionary client accounts.

C) A CFA candidate at the firm, who is registered for the Level III exam, includes reference to participation in the CFA program and her status as a Level III candidate in her biographical background.

Question #3 of 120

Question ID: 1212001

According to the Code and Standards, members and candidates who are involved in distributing an initial public offering (IPO) of equity shares and wish to participate in the IPO:

A) may participate unless the IPO is oversubscribed.

B) may not participate because this creates a conflict of interest.

C) must obtain pre-clearance from a supervisor before participating.

Question #4 of 120

Question ID: 1211997

Linda Bryant, CFA, is an employee of Roomkin Investment House, which underwrites equity and debt offerings. She has been approached by SimthCo to consult on a private debt placement. According to CFA Institute Standards of Professional Conduct, before Bryant agrees to accept this job, she is required to:

A) obtain written consent from Roomkin after submitting details of the arrangement.

B) talk to her immediate supervisor and get her approval to take this consulting job.

C) inform SimthCo in writing that she will accept the job and provide details of the arrangement to Roomkin in writing.

Question #5 of 120

Question ID: 1211999

To comply with the Code and Standards, analysts who send research recommendations to clients must:

A) keep records of all the data and analysis that went into creating the report.

B) send recommendations only to those clients for whom the investments are suitable.

C) not send recommendations without including the underlying analysis and basic investment characteristics.

Question #6 of 120

Question ID: 1211998

Amy Brooks, a Level III CFA candidate, has been given supervisory responsibilities. In carrying out her responsibilities, Brooks has discovered that the firm's compliance system is inadequate. She informed her supervisor, who is not supportive of Brooks's efforts to correct the situation. According to CFA Institute Standards of Professional Conduct, Brooks:

A) has satisfied her obligation under the Code and Standards by informing her manager of the situation.

B) must dissociate herself from the firm if the firm is not in compliance with the CFA Institute Standards.

C) should decline in writing to accept supervisory responsibilities until an adequate compliance system is adopted.

Question #7 of 120

Question ID: 1211996

Not including the results of terminated accounts when calculating historical performance is recommended by:

A) both GIPS and the Standard concerning performance presentation.

B) GIPS, but not by the Standard concerning performance presentation.

C) neither GIPS nor the Standard concerning performance presentation.

Question #8 of 120

Question ID: 1212000

Ken Toma, CFA, has just completed an extensive analysis and concluded that the demand for vacation rentals in Hawaii will far exceed the supply for the foreseeable future. Toma writes a research report stating, "Based on the fact that the demand for Hawaiian beach vacations will exceed the supply of rooms for the foreseeable future, I recommend the purchase of shares of The Hawaiian REIT, a diversified portfolio of Hawaiian beachfront resorts." If Toma presents this report to his clients, he will *most likely* violate the CFA Institute Standards by:

A) not distinguishing between fact and opinion.

B) not considering the suitability of the investment for his clients.

C) failing to have a reasonable and adequate basis for his recommendation.

Question #9 of 120

Question ID: 1211993

Derek Stevens, CFA, manages the pension plan assets of Colors, Inc. When voting proxies for plan equities, Stevens owes a fiduciary duty to:

A) the plan trustees who hired him.

B) the plan participants and beneficiaries.

C) the managers, stockholders, and bondholders of Colors, Inc., equally.

Question #10 of 120

Question ID: 1211994

An analyst at Romer changes her rating on TelSky from "buy" to "hold" and sends an email explaining the change to all clients and firm brokers. Subsequently, Paul Stevens, CFA, a broker at Romer, receives a call from a client who wants to buy 15,000 shares of TelSky. Stevens must:

A) advise his client of the change in recommendation before accepting the order.

B) not accept the order until the customer has had time to receive and read the new report.

C) accept the order without mentioning the ratings change because the order is unsolicited.

Question #11 of 120

Question ID: 1207399

Which of the following is one of the nine major sections of the GIPS standards?

A) Verification.

B) Private equity.

C) Sub-advisers.

Question #12 of 120

Question ID: 1211995

Edie Pschorr, CFA, notices that a bond is priced at 98.0 in one market and 98.4 in another market. Pschorr places an order to buy a large number of these bonds in the first market and simultaneously places an order to sell the same number of bonds in the second market. The bond's price increases to 98.2 in the first market and decreases to 98.2 in the second market. Are Pschorr's trades a violation of the Code and Standards?

A) No.

B) Yes, because they violate the Standard concerning fair dealing.

C) Yes, because they violate the Standard concerning market manipulation.

Question #13 of 120

Question ID: 1212002

Greg Hoffman, CFA, has been offered a cash payment by Hill Manufacturing, Inc. to write a research report on their company. According to the Code and Standards, Hoffman:

A) must disclose the nature of the compensation from Hill in his research report.

B) may not accept compensation from Hill to produce research on the company.

C) may produce the research report but may not make a recommendation on Hill's securities.

Question #14 of 120

Question ID: 1212003

Rhonda Morrow, CFA, is an analyst for Waller & Madison, a brokerage and investment banking firm. Waller & Madison is a market maker for CorpEast, and Tim Waller, a principal in Morrow's firm, sits on CorpEast's board. Morrow has been asked to write a research report on CorpEast. According to the Standard regarding disclosure of conflicts, Morrow:

A) must not write the report.

B) must disclose that Waller & Madison is a market maker in CorpEast shares but not that Waller is a board member.

C) may write the report if she discloses both that Waller & Madison is a market maker in CorpEast shares and that Waller sits on the CorpEast board.

Question #15 of 120

Question ID: 1211991

John Farr, CFA, has accumulated several pieces of nonmaterial nonpublic information about CattleCorp from his contacts with the company. From analysis based on this information, together with public information, Farr concludes that CattleCorp will have unexpectedly low earnings this year. Farr has contacted the company, but they will not confirm his conclusion. According to CFA Institute Standards of Professional Conduct, Farr:

A) may trade or make recommendations based on his analysis.

B) may not trade or make recommendations based on his analysis.

C) may trade or make recommendations based on his analysis only if his company’s compliance officer determines that the nonpublic information he used was not material.

Question #16 of 120

Question ID: 1207400

According to the GIPS standards, which of the following statements is *most accurate*?

A) Firms are required to obtain independent third-party verification for a claim of GIPS compliance.

B) GIPS compliant firms are required to maintain written documentation of policies and procedures used to establish and maintain compliance with GIPS.

C) To initially claim compliance with GIPS, a company must present a minimum of ten years (or since the firm’s inception if less than ten years) of GIPS-compliant performance data.

Question #17 of 120

Question ID: 1212004

Shan Ang, CFA, is a portfolio manager at Huang Investments. Lian Jan, an old friend of Ang's, is an executive recruiter in the same city. Jan proposes that she will refer any high-level executives that she places locally to Ang, in exchange for one round of golf at Ang's country club for each new client. According to the Standard concerning referral fees, Ang would be required to disclose this referral arrangement:

A) only to all prospective clients referred by Jan.

B) to his employer and all prospective clients referred by Jan.

C) to all prospective clients, current clients, and his employer.

Question #18 of 120

Question ID: 1211992

Yvette Michaels, CFA, an analyst for Torborg Investments, inadvertently overhears a conversation between two executives of Collective Healthcare in which they mention an upcoming tender offer for Network, a stock she covers. Michaels has followed both companies extensively and feels their consolidation would be very beneficial for both companies. She tells her supervisor, a senior analyst, about the proposed tender offer. Michaels' actions are:

A) in violation of the Standards.

B) not in violation of the Standards because she told only her supervisor.

C) not in violation of the Standards because she has not traded shares of Network or changed her report on the company.

Question #19 of 120

Question ID: 1207402

Questions 19 through 30 relate to Quantitative Methods. (18 minutes)

The odds for an event occurring are calculated by dividing:

A) one by the probability that the event occurs.

B) the probability that the event does not occur by the probability that an event occurs.

C) the probability that the event occurs by the probability that the event does not occur.

Question #20 of 120

Question ID: 1207401

Which of the following statements about return distributions is *most accurate*?

A) With positive skewness, the median is greater than the mean.

B) If skewness is positive, the average magnitude of positive deviations from the mean is smaller than the average magnitude of negative deviations from the mean.

C) If a return distribution has positive excess kurtosis and the analyst uses statistical models that do not account for the fatter tails, the analyst will underestimate the likelihood of extreme outcomes.

Question #21 of 120

Question ID: 1207411

An analyst plans to use the following test statistic:

$$t_{n-1} = \frac{\overline{x} - \mu_0}{s/\sqrt{n}}$$

This test statistic is appropriate for a hypothesis about:

A) the mean difference of two normal populations.

B) the population mean of a normal distribution with unknown variance.

C) the equality of two population means of two normally distributed populations based on independent samples.

Question #22 of 120

Question ID: 1207403

Which of the following statements about covariance and the correlation coefficient is *least accurate*?

A) Covariance is a measure of how the returns of two assets tend to move together over time.

B) The correlation coefficient is computed by dividing the covariance of returns on two assets by the individual variances of returns for the two assets.

C) The covariance of returns between two assets is equal to the correlation between the returns of the two assets, multiplied by the product of their standard deviations of returns.

Question #23 of 120

Question ID: 1207408

Greg Goldman, research analyst in the fixed-income area of an investment bank, needs to determine the average duration of a sample of twenty 15-year fixed-coupon investment grade bonds. Goldman first categorizes the bonds by risk class and then randomly selects bonds from each class. After combining the bonds selected (bond ratings and other information taken as of March 31 of the current year), he calculates a sample mean duration of 10.5 years. Assuming that the actual population mean duration is 9.7 years, which of the following statements about Goldman's sampling process and sample is *least accurate*?

A) Goldman is using time-series data.

B) The sample mean is a random variable.

C) The sampling error is 0.8 years.

Question #24 of 120

Question ID: 1212007

An investment with an initial cost of $30,000 is sold for $60,000 after two years. The annual return on a continuously compounded basis is *closest to*:

A) 35%.

B) 38%.

C) 40%.

Question #25 of 120

Question ID: 1207404

If Stock X has a standard deviation of returns of 18.9% and Stock Y has a standard deviation of returns equal to 14.73% and returns on the stocks are perfectly positively correlated, the standard deviation of an equally weighted portfolio of the two is:

A) 10.25%.

B) 14.67%.

C) 16.82%.

Question #26 of 120

Question ID: 1207405

An investment manager wants to select three analysts from a group of six analysts to receive first-, second-, and third-place awards for outstanding performance. In how many ways can the investment manager make the three awards?

A) 20 ways.

B) 54 ways.

C) 120 ways.

Question #27 of 120

Question ID: 1207409

Which of the following statements about the central limit theorem is *least accurate*?

A) The standard deviation of the sample mean is called the standard error of the sample mean.

B) The standard error of the sample mean can be estimated by dividing the population standard deviation by $\sqrt{n-1}$.

C) The sample means for large sample sizes will have an approximately normal distribution regardless of the distribution of the underlying population.

Question #28 of 120

Question ID: 1207410

An investment analyst takes a random sample of 100 aggressive equity funds and calculates the average beta as 1.7. The sample betas have a standard deviation of 0.4. Using a 95% confidence interval and a *z*-statistic, which of the following statements about the confidence interval and its interpretation is *most accurate*? The analyst can be confident at the 95% level that the interval:

A) 1.580 to 1.820 includes the mean of the population beta.

B) 1.622 to 1.778 includes the mean of the population beta.

C) 1.634 to 1.766 includes the mean of the population beta.

Question #29 of 120

Question ID: 1207412

Which is the correct test statistic for a test of the null hypothesis that a population variance is equal to a chosen value?

A) *F*-statistic.

B) *t*-statistic.

C) Chi-square statistic.

Question #30 of 120

Question ID: 1207406

A random variable follows a continuous uniform distribution over the range 2 to 12. The probability of an outcome greater than 5 but less than or equal to 8 is *closest to*:

A) 27%.

B) 30%.

C) 36%.

Question #31 of 120

Question ID: 1212008

Questions 31 through 42 relate to Economics. (18 minutes)

To benefit from price discrimination, a monopolist *least likely* needs to have:

A) a higher-quality product at a premium price and a lower-quality alternative.

B) a way to prevent reselling between types of consumers.

C) two identifiable groups of consumers with different price elasticities of demand for the product.

Question #32 of 120

Question ID: 1207421

Automatic stabilizers are government programs that require no legislation and tend to:

A) automatically increase spending at the same growth rate as real GDP.

B) reduce interest rates, thus stimulating aggregate demand.

C) change the government budget deficit in an opposite direction to economic growth.

Question #33 of 120

Question ID: 1212009

An economy is in full-employment equilibrium. If the government unexpectedly decreases the tax rate, the economy is *most likely* to experience:

A) an increase in employment in the short run.

B) a decrease in the price level in the short run.

C) no change in employment in the short run.

Question #34 of 120

Question ID: 1207418

Pat Bannerman is analyzing economic indicators to form an opinion on whether an economic contraction has ended. Which of the following turning points should Bannerman *most appropriately* interpret as a coincident indicator suggesting economic growth is entering the early stage of a new expansion?

A) Real personal income has begun increasing.

B) The unemployment rate has begun decreasing.

C) Building permits for new houses have begun increasing.

Question #35 of 120

Question ID: 1207424

Three years ago, the U.S. dollar/euro exchange rate was 1.32 USD/ EUR. Over the last three years, the price level in the United States has increased by 18%, and the price level in the eurozone has increased by 12%. If the current exchange rate is 1.40 USD/EUR, the real exchange rate over the period has:

A) increased, and eurozone goods are now more expensive to U.S. consumers.

B) decreased, and eurozone goods are now more expensive to U.S. consumers.

C) increased, and U.S. goods are now more expensive to eurozone consumers.

Question #36 of 120

Question ID: 1207422

Which of the following conditions is *most likely* to result in expansionary effects from fiscal policy being felt when an economic expansion is already underway?

A) Slow economic growth is being caused by supply shortages rather than low aggregate demand.

B) Expansionary fiscal policy requires policymakers to recognize an economic contraction and enact legislation.

C) Government borrowing to finance expansionary spending is increasing interest rates faced by private sector borrowers.

Question #37 of 120

Question ID: 1207413

Which of the following is *most likely* a characteristic of monopolistic competition?

A) Producer decisions are interdependent.

B) Each producer offers a differentiated product.

C) Producers face horizontal demand curves.

Question #38 of 120

Question ID: 1207419

The Fisher effect describes the relationship among:

A) savings, investment, the fiscal balance, and the trade balance.

B) credit expansion, investor expectations, and the business cycle.

C) nominal interest rates, real interest rates, and expected inflation.

Question #39 of 120

Question ID: 1207415

Which of the following events is *most likely* to increase short-run aggregate supply (shift the curve to the right)?

A) Inflation that results in an increase in goods prices.

B) High unemployment puts downward pressure on money wages.

C) An increase in government spending intended to increase real output.

Question #40 of 120

Question ID: 1207417

An unexpected increase in businesses' inventory-to-sales ratios is *most likely* to occur as an economy:

A) reaches a trough.

B) enters a contraction phase.

C) approaches the peak of an expansion.

Question #41 of 120

Question ID: 1207423

Costs of reducing restrictions on international trade are *most likely* to be borne by domestic producers:

A) as a whole.

B) that lack an absolute advantage.

C) that lack a comparative advantage.

Question #42 of 120

Question ID: 1207420

A change from a neutral monetary policy to a contractionary monetary policy is *most likely* to be reflected in the economy by:

A) decreases in price for financial assets.

B) decreased lending rates in the banking system.

C) depreciation of the domestic currency in the foreign exchange market.

Question #43 of 120

Question ID: 1212010

Questions 43 through 60 relate to Financial Reporting and Analysis. (27 minutes)

Peri, Inc. has entered into a long-term contract to build a warehouse that includes a bonus payment of 10% of the contract value, to be paid if the building is completed by a specific date. In determining the revenue to recognize, the firm should calculate the proportion of the performance obligations fulfilled to date, and multiply that by the contract value:

A) not including the bonus.

B) including the bonus if it is probable they will receive it.

C) including the bonus only if they are certain they will receive it.

Question #44 of 120

Question ID: 1207431

An analyst gathered the following data about a company:

- Collections from customers are $5,000.

- Depreciation is $800.
- Cash expenses (including taxes) are $2,000.
- Tax rate = 30%.
- Net cash increased by $1,000.

If inventory increases over the period by $800, cash flow from operations equals:

A) $1,600.
B) $2,400.
C) $3,000.

Question #45 of 120

Question ID: 1207434

Greene Company discloses that its net income for the most recent period was reduced by a writedown of inventory to net realizable value. What effect is the inventory writedown *most likely* to have on Greene's net income in future periods?

A) Increase.
B) Decrease.
C) No effect.

Question #46 of 120

Question ID: 1207438

Compared to reporting in a country where life insurance payments on key employees are deductible for tax, a company that makes such payments and reports in a country in which they are not tax deductible would report:

A) a lower statutory tax rate.
B) a higher effective tax rate.
C) a greater deferred tax asset.

Question #47 of 120

Question ID: 1207432

Which of the following is *most likely* presented on a common-size balance sheet or common-size income statement?

A) Total asset turnover.
B) Operating profit margin.
C) Return on common equity.

Question #48 of 120

Question ID: 1207429

An analyst gathers the following data about a company:

- The company had 1 million shares of common stock outstanding for the entire year.
- The company's beginning stock price was $50, its ending price was $70, and its average price was $60.
- The company had 100,000 warrants outstanding for the entire year. Each warrant allows the holder to buy one share of common stock at $50 per share.

How many shares of common stock should the company use in computing its diluted earnings per share?

A) 1,100,000.
B) 1,083,333.
C) 1,016,667.

Question #49 of 120

Question ID: 1207430

Under U.S. GAAP, land owned by the firm is *most likely* to be reported on the balance sheet at:

A) historical cost.
B) fair market value minus selling costs.
C) historical cost less accumulated depreciation.

Question #50 of 120

Question ID: 1207425

Which of the following items is *least likely* to contain details about various accruals, adjustments, balances, and management assumptions?

A) Income statement.
B) Supplementary schedules.
C) Discussion and analysis by management.

Question #51 of 120

Question ID: 1207439

A permanent difference between pretax and taxable income is *least likely* to arise when a firm:

A) receives tax-exempt interest.
B) uses the installment sales method for financial reporting.
C) pays premiums on life insurance of key employees.

Question #52 of 120

Question ID: 1207426

According to the IASB Conceptual Framework for Financial Reporting, what are the two fundamental qualitative characteristics of financial statements?

A) Timeliness and comparability.

B) Verifiability and understandability.

C) Relevance and faithful representation.

Question #53 of 120

Question ID: 1207433

A firm uses the first-in first-out (FIFO) cost flow assumption. Compared to gross profit with a periodic inventory system, the firm's gross profit with a perpetual inventory system would be:

A) lower.

B) higher.

C) the same.

Question #54 of 120

Question ID: 1207428

Which costs are *least likely* to be reported as an expense in the current accounting period?

A) Period costs.

B) Costs of producing inventory.

C) Loan interest that has not yet been paid.

Question #55 of 120

Question ID: 1207441

While motivation and opportunity both can lead to low quality of financial reporting, a third important contributing factor is:

A) poor financial controls.

B) rationalization of the actions.

C) pressure to meet earnings expectations.

Question #56 of 120

Question ID: 1207442

In a period of rising prices, management of a company that reports under IFRS is *least likely* to attempt to influence analysts' opinions of its financial results by:

A) liquidating inventory.

B) increasing the useful lives of assets.

C) emphasizing earnings that exclude nonrecurring costs.

Question #57 of 120

Question ID: 1207436

Granite, Inc., owns a machine with a carrying value of $3.0 million and a salvage value of $2.0 million. The present value of the machine's future cash flows is $1.7 million. The asset is permanently impaired. Granite should:

A) immediately write down the machine to its salvage value.

B) immediately write down the machine to its recoverable amount.

C) write down the machine to its recoverable amount as soon as it is depreciated down to salvage value.

Question #58 of 120

Question ID: 1207440

Yamaska Mining issued a 5-year, $50 million face, 6% semiannual bond when market interest rates were 7%. The market yield of the bonds was 8% at the beginning of the next year. Using the effective interest rate method, what is the initial balance sheet liability, and what is the interest expense that the company should report for the first half of the second year of the bond's life (the third semiannual period)?

	Initial liability	Interest expense, first half of year 2
A)	$47,920,849	$1,689,853
B)	$47,920,849	$1,750,000
C)	$50,000,000	$1,500,000

Question #59 of 120

Question ID: 1207437

Clement Company has revalued an intangible asset with an indefinite life upward by €25 million. In its financial statements, Clement will *most likely*:

A) disclose how it determined the fair value of the intangible asset.

B) report lower net income in subsequent periods because of increased amortization expense on the asset.

C) report higher assets, net income, and shareholders' equity in the most recent period than it would have reported under the cost model.

Question #60 of 120

Question ID: 1207435

As a result of a recent acquisition, Lombard, Inc., has placed the following items on their balance sheet as of the beginning of their fiscal year:

Goodwill	$30 million	
Patent	$10 million	Expires in 10 years.

Trademark	$15 million	Expires in 15 years, renewable at minimal cost.

If Lombard amortizes intangible assets using the straight line method, the amortization expense on these assets for the fiscal year will be:

A) $1 million.
B) $2 million.
C) $3 million.

Question #61 of 120

Question ID: 1207443

Questions 61 through 72 relate to Corporate Finance. (18 minutes)

Responsibilities of a board of directors' nominations committee are *least likely* to include:

A) recruiting qualified members to the board.
B) selecting an external auditor for the company.
C) evaluating the independence of directors.

Question #62 of 120

Question ID: 1207447

The following data applies to LeVeit Company:

- LeVeit has a target debt-to-equity ratio of 0.5.
- LeVeit's bonds are currently yielding 10%.
- LeVeit is a constant growth (5%) firm that just paid a dividend of $3.00.
- LeVeit's stock sells for $31.50 per share.
- The company's marginal tax rate is 40%.

The company's weighted after-tax cost of capital is *closest* to:

A) 10.5%.
B) 11.0%.
C) 12.0%.

Question #63 of 120

Question ID: 1207444

Timely Taxis, Ltd. has signed a long-term lease for 20 underground parking spots at $150 each per month for its fleet of taxis. The firm currently has 18 taxis in operation and is performing an NPV analysis on the purchase of a 19th taxi. The cost of parking for the 19th taxi is *best* described as:

A) a sunk cost.
B) an opportunity cost.
C) an incremental cost.

Question #64 of 120

Question ID: 1207448

If a firm uses the weighted average cost of capital (WACC) to discount cash flows of higher than average risk projects, which one of the following will *most likely* occur?

A) Project NPVs will be understated.

B) The firm will reject profitable projects.

C) The overall risk of the firm's investments will rise over time.

Question #65 of 120

Question ID: 1207452

A guarantee stating that a payment will be made upon receipt of goods or services is *best* described as:

A) commercial paper.

B) a banker's acceptance.

C) a revolving line of credit.

Question #66 of 120

Question ID: 1207445

Wreathfield, Inc., is choosing between two mutually exclusive projects. The cash flows for the two projects are below. The firm has a cost of capital of 12%, and the risk of the projects is equivalent to the average risk of the firm.

	0	1	2	3	4	5	6
Project J:	–12,000	4,000	5,000	6,000			
Project K:	–20,000	3,000	3,000	3,000	5,000	8,000	8,000

Wreathfield should accept:

A) Project J.

B) Project K.

C) Neither project J nor project K.

Question #67 of 120

Question ID: 1207453

If firms Acme and Butler have the same amount of sales and equal quick ratios, but Acme's receivables turnover is higher, it is *most likely* that:

A) Butler has better liquidity than Acme.

B) Butler has a lower cash ratio than Acme.

C) Acme's average days of receivables is higher than Butler's.

Question #68 of 120

Question ID: 1207451

Fireball Company has fixed operating costs of $120,000 and fixed financing costs of $120,000. Fireball's variable costs are $4 per unit of output. If Fireball sells 200,000 units for $5 each, it will generate:

A) a net profit.
B) an operating loss.
C) an operating profit but a net loss.

Question #69 of 120

Question ID: 1207449

A firm's optimal capital budget can be found by moving along its investment opportunity schedule until:

A) it exhausts its capital budget.
B) average project return is equal to average cost of capital.
C) the next project's return is less than the marginal cost of capital.

Question #70 of 120

Question ID: 1207454

A company's excess cash balances can *most appropriately* be invested in:

A) common stock.
B) corporate bonds.
C) commercial paper.

Question #71 of 120

Question ID: 1207450

A company's schedule of the costs of debt and equity shows that an additional $3 million of debt can be issued at an after-tax cost of 3%, and additional equity of $9 million can be issued at a cost of 6%. The company plans to maintain a capital structure of 30% debt and 70% equity. At what level of new capital financing will the marginal cost of capital change with the issuance of new debt?

A) $3 million.
B) $10 million.
C) $13 million.

Question #72 of 120

Question ID: 1207446

Compared to the NPV profile of a project with an initial outlay of 1,000 and annual after-tax cash flows of 300 for four years, an alternative project with an initial outlay and annual after-tax cash flows 20% higher would have a Y-intercept (vertical intercept) that is:

A) unchanged and an X-intercept that is greater.

B) increased by 20% and an X-intercept that is greater.

C) increased by 20% and an X-intercept that is unchanged.

Question #73 of 120

Question ID: 1207457

Questions 73 through 86 relate to Equity Investments. (21 minutes)

Martin Gomez holds 100 shares of each of the stocks in a price- weighted index and reinvests cash dividends in additional shares. Assuming there are no stock splits, stock dividends, or changes in the makeup of the index, how will Gomez's portfolio return compare with the price return of the index if the low-priced index stocks outperform the high-priced index stocks?

A) Gomez’s portfolio return will be higher.

B) The price return of the index will be higher.

C) Gomez’s portfolio return will be equal to the price return of the index.

Question #74 of 120

Question ID: 1207455

Evelyn Stram, CFA, places a good-till-cancelled limit buy order at 86 for a stock. Stram's order specifies:

A) clearing and validity instructions.

B) validity and execution instructions.

C) execution and clearing instructions.

Question #75 of 120

Question ID: 1207462

The type of equity depository receipt that gives its owners the right to vote and receive dividends from a company's shares is *best* described as:

A) a global depository receipt.

B) a sponsored depository receipt.

C) a fully-owned depository receipt.

Question #76 of 120

Question ID: 1207464

Ron Egan, CFA, classifies firms in the transportation industry in peer groups that include airlines and bus operators. Egan learns that one of the airlines, Acme, derives half its revenue from its Acme Bus Lines subsidiary. Egan adds Acme to his peer group for bus operators while continuing to include Acme in his peer group for airlines. Is Egan's treatment of Acme appropriate?

A) Yes.

B) No, because each company should be included in only one peer group.

C) No, because the bus operations are not the company's principal business activity.

Question #77 of 120

Question ID: 1207466

An analyst gathered the following data about a company:

- A historical earnings retention rate of 60% that is projected to continue into the future.
- A sustainable return on equity of 10%.
- A beta of 1.0.
- The nominal risk-free rate is 5%.
- The expected market return is 10%.

If next year's EPS is $2 per share, what value should be estimated for this stock?

A) $20.00.

B) $30.50.

C) $35.45.

Question #78 of 120

Question ID: 1207458

The type of equity index *most likely* to require rebalancing is:

A) a price-weighted index.

B) an equal-weighted index.

C) a market-capitalization index.

Question #79 of 120

Question ID: 1207459

A high yield bond fund states that through active management, the fund's return has outperformed an index of Treasury securities by 4% on average over the past five years. As a performance benchmark for this fund, the index chosen is:

A) appropriate.

B) inappropriate, because the index return does not reflect active management.

C) inappropriate, because the index does not reflect the actual bonds in which the fund invests.

Question #80 of 120

Question ID: 1207463

The change in the intrinsic value of a firm's common stock resulting from an increase in ROE *most likely*:

A) increases the stock's intrinsic value.

B) decreases the stock's intrinsic value.

C) depends on the reason for the increase in ROE.

Question #81 of 120

Question ID: 1207461

Which of the following statements about short selling is *least accurate*?

A) A short seller is required to set up a margin account.

B) A short sale involves securities the investor does not own.

C) A short seller loses if the price of the stock sold short decreases.

Question #82 of 120

Question ID: 1207460

Compared to an index of 100 U.S. exchange-traded stocks, an index of 100 U.S. government and corporate bonds will *most likely*:

A) reflect equally timely price data.

B) be more difficult to build and maintain.

C) have less turnover among the securities in the index.

Question #83 of 120

Question ID: 1207467

Beth Knight, CFA, and David Royal, CFA, are independently analyzing the value of Bishop, Inc., stock. Bishop paid a dividend of $1 last year. Knight expects the dividend to grow by 10% in each of the next three years, after which it will grow at a constant rate of 4% per year. Royal also expects a temporary growth rate of 10% followed by a constant growth rate of 4%, but he expects the supernormal growth to last for only two years. Knight estimates that the required return on Bishop stock is 9%, but Royal believes the required return is 10%. Royal's valuation of Bishop stock is approximately:

A) equal to Knight's valuation.

B) $5 less than Knight's valuation.

C) $5 greater than Knight's valuation.

Question #84 of 120

Question ID: 1207465

An industry in the growth phase of the industry life cycle is *most likely* to experience:

A) increasing prices.

B) increasing profitability.

C) intense competition among competitors.

Question #85 of 120

Question ID: 1207468

Acquire Corp. has a business model based on making accretive acquisitions each year. The company has historically been successful in implementing its strategy. Earnings per share have grown each of the last five years at a 15% compounded rate. Acquire's two primary business segments are engineering construction and mining. During the past year, Acquire purchased a services company with large net operating losses. The purchase price was one-half the company's current market value. The *most appropriate* technique to value Acquire is based on its:

A) price-to-book value ratio.

B) forward price-to-earnings ratio.

C) trailing price-to-sales ratio.

Question #86 of 120

Question ID: 1207456

Liquidity is generally supplied by dealers in:

A) a brokered market.

B) an order-driven market.

C) a quote-driven market.

Question #87 of 120

Question ID: 1212013

Questions 87 through 99 relate to Fixed Income. (19.5 minutes)

Consider the following Treasury spot rates expressed as bond equivalent yields:

Maturity	Spot Rate
6 months	3.0%
1 year	3.5%
1.5 years	4.0%
2 years	4.5%

If a Treasury note with two years remaining to maturity has a 5% semiannual coupon and is priced at $1,008, the note is:

A) overpriced.

B) underpriced.

C) correctly priced.

Question #88 of 120

Question ID: 1212020

Which of the following is an advantage of a callable bond (compared to an identical option-free bond) to an investor?

A) Less reinvestment risk.

B) Higher yield.

C) More convexity.

Question #89 of 120

Question ID: 1212018

The bonds of Grinder Corp. trade at a G-spread of 150 basis points above comparable maturity U.S. Treasury securities. The option adjusted spread (OAS) on the Grinder bonds is 75 basis points. Using this information, and assuming that the Treasury yield curve is flat:

A) the option cost is 75 basis points.

B) the zero-volatility spread is 75 basis points.

C) the zero-volatility spread is 225 basis points.

Question #90 of 120

Question ID: 1212022

The yield spreads between corporate bonds and government bonds are *most likely* to decrease if:

A) liquidity decreases in the market for the corporate bonds.

B) a credit rating downgrade on the corporate bonds becomes more likely.

C) investors increase their estimates of the recovery rate on the corporate bonds.

Question #91 of 120

Question ID: 1212014

The full price of a bond:

A) includes accrued interest.

B) includes commissions and taxes.

C) is also known as the “clean” price.

Question #92 of 120

Question ID: 1212011

Which of the following is a disadvantage to bondholders if a bond has a sinking fund provision?

A) Lower credit quality.

B) Unfavorable tax status.

C) Greater reinvestment risk.

Question #93 of 120

Question ID: 1212023

A debt covenant designates one of a holding company's subsidiaries as restricted. Which of the following credit-related considerations does this covenant address?

A) Credit migration risk.

B) Structural subordination.

C) Payments to equity holders.

Question #94 of 120

Question ID: 1212016

Consider a collateralized mortgage obligation (CMO) structure with one planned amortization class (PAC) class and one support tranche outstanding. If the prepayment speed is higher than the upper collar on the PAC:

A) the life of the PAC tranche will increase.

B) the PAC tranche has no risk of prepayments.

C) the life of the support tranche will decrease.

Question #95 of 120

Question ID: 1212021

For a bond currently priced at $1,018 with an effective duration of 7.48, if the market yield moved down 75 basis points, the new price would be approximately:

A) $961.

B) $1,075.

C) $1,094.

Question #96 of 120

Question ID: 1212015

A public offering of bonds issued over a period of time is *most accurately* described as:

A) a serial structure.

B) a shelf registration.

C) a waterfall structure.

Question #97 of 120

Question ID: 1212017

The minimum data required to calculate the implied forward rate for three years beginning three years from now is:

A) the 3-year and 6-year spot rates.

B) the 4-year, 5-year, and 6-year spot rates.

C) spot rates at 1-year intervals for the 6-year period.

Question #98 of 120

Question ID: 1212019

A 3-year, 6% coupon, semiannual-pay note has a yield to maturity of 5.5%. If an investor holds this note to maturity and earns a 4.5% return on reinvested coupon income, his realized yield on the note is *closest* to:

A) 5.46%.

B) 5.57%.

C) 5.68%.

Question #99 of 120

Question ID: 1212012

An annual-pay, 4% coupon, 10-year bond has a yield to maturity of 5.2%. If the price of this bond is unchanged two years later, its yield to maturity at that time is:

A) 5.2%.

B) less than 5.2%.

C) greater than 5.2%.

Question #100 of 120

Question ID: 1212024

Questions 100 through 106 relate to Derivatives. (10.5 minutes)

Ed Verdi has a long position in a European put option on a stock. At expiration, the stock price is greater than the exercise price. The value of the put option to Verdi on its expiration date is:

A) zero.

B) positive.

C) negative.

Question #101 of 120

Question ID: 1207485

A company is *most likely* to enter a plain vanilla interest rate swap as the fixed-rate payer if its balance sheet has predominantly:

A) floating-rate assets, and management expects interest rates to increase.

B) fixed-rate liabilities, and management expects interest rates to decrease.

C) floating-rate liabilities, and management expects interest rates to increase.

Question #102 of 120

Question ID: 1207484

Which of the following is *most likely* to be an impediment to arbitrage?

A) The law of one price.

B) Short-sale restrictions.

C) Investors' risk aversion.

Question #103 of 120

Question ID: 1207487

The put-call-forward parity relationship is similar to the standard put-call parity relationship with a forward price substituted for:

A) the risk-free bond.

B) the underlying asset.

C) either the call or put option.

Question #104 of 120

Question ID: 1207482

Over-the-counter derivatives are:

A) standardized and backed by a clearinghouse.

B) not standardized but are backed by a clearinghouse.

C) neither standardized nor backed by a clearinghouse.

Question #105 of 120

Question ID: 1212025

The time value of an option is *most accurately* described as:

A) increasing as the option approaches its expiration date.

B) equal to the entire premium for an out-of-the-money option.

C) the amount by which the intrinsic value exceeds the option premium.

Question #106 of 120

Question ID: 1207486

A 60-day forward rate agreement (FRA) on 60-day U.S. dollar LIBOR has a fixed rate of 6%. If, at the initiation of the contract, 60-day LIBOR is 5%, the payment in 60 days:

A) is unknown.

B) will be received by the long position.

C) will be received by the short position.

Question #107 of 120

Question ID: 1212027

Questions 107 through 113 relate to Alternative Investments. (10.5 minutes)

Over time, compared to traditional stock and bond investments, the commodities asset class has exhibited:

A) lower returns and lower price volatility.

B) lower returns and higher price volatility.

C) higher returns and lower price volatility.

Question #108 of 120

Question ID: 1212028

A hedge fund uses derivative positions to take a long position in the Japanese yen and a short position in the euro. The classification of this hedge fund is *most likely*:

A) an event-driven fund.

B) a macro strategy fund.

C) a quantitative directional fund.

Question #109 of 120

Question ID: 1212029

Compared to its net asset value (NAV) calculated in accordance with accounting standards, a hedge fund's trading NAV:

A) will be lower because of adjustments for illiquid positions.

B) is likely to be higher because of upward bias in model-based security values.

C) may be higher or lower, reflecting gains or losses on securities designated for short-term trading.

Question #110 of 120

Question ID: 1212026

The mezzanine financing portion of a leveraged buyout (LBO) is *most likely* to:

A) represent committed capital.

B) be convertible to equity or include warrants.

C) have seniority over other bonds issued to finance the LBO.

Question #111 of 120

Question ID: 1207490

A characteristic of alternative investments that distinguishes them from traditional investments is that:

A) redemptions are more restricted.

B) they are subject to stricter regulations.

C) managers hold more diversified portfolios.

Question #112 of 120

Question ID: 1212030

Public-private partnerships are *most likely* to be a vehicle for investing in:

A) tangible collectibles.

B) distressed securities.

C) greenfield infrastructure.

Question #113 of 120

Question ID: 1207495

When conducting due diligence on a vehicle for alternative investments, which of the following observations would *most likely* be positive for a potential investor?

A) Auditing and reporting to investors are performed by reliable third parties.

B) The general partner is prohibited from commingling his own funds with the limited partners' funds.

C) A well-known and highly regarded investor holds shares that represent 20% of the vehicle's assets under management.

Question #114 of 120

Question ID: 1207497

Questions 114 through 120 relate to Portfolio Management. (10.5 minutes)

Which of the following types of institutions is *most likely* to have the lowest risk tolerance?

A) Commercial bank.

B) College endowment.

C) Mutual fund company.

Question #115 of 120

Question ID: 1207496

Under which type of pension plan are retirement benefit payments an obligation of the sponsoring firm?

A) Defined benefit plan only.

B) Defined contribution plan only.

C) Both a defined benefit plan and a defined contribution plan.

Question #116 of 120

Question ID: 1207498

Which of the following possible portfolios is *least likely* to lie on the efficient frontier?

Portfolio	Expected Return	Standard Deviation
X	9%	12%
Y	11%	10%
Z	13%	15%

A) Portfolio X.

B) Portfolio Y.

C) Portfolio Z.

Question #117 of 120

Question ID: 1207499

In extending the 3-factor model of Fama and French, the additional factor suggested by Carhart that is often used is:

A) GDP growth.

B) price momentum.

C) market-to-book value.

Question #118 of 120

Question ID: 1212031

Marcia Kostner, CFA, is an advisor to individual investors. To determine each of her clients' risk tolerance objectively, Kostner uses a mathematical formula with inputs that include the client's age, family size, insurance coverage, liquidity, income, and net worth. What is the *most likely* shortcoming of Kostner's approach to assessing risk tolerance?

A) Net worth is unrelated to an investor’s risk tolerance.

B) This approach does not consider the investor’s attitude toward risk.

C) Treating clients differently based on their ages violates the Code and Standards.

Question #119 of 120

Question ID: 1207501

An analyst gathered the following data about three stocks:

Stock	Beta	Estimated Return
A	1.5	18.1%
B	1.1	15.7%
C	0.6	12.5%

If the risk-free rate is 8%, and the market risk premium is 7%, the analyst is *least likely* to recommend buying:

A) Stock A.
B) Stock B.
C) Stock C.

Question #120 of 120

Question ID: 1207500

Which of the following equity securities is *most likely* to have a beta greater than one?

A) Utility stock.
B) Health care stock.
C) Homebuilder stock.